The Directors of *Umeme Limited* are pleased to announce the audited financial results for the Company for the year ended 31 December 2013

Patrick Bitature
Board Chairman, Umeme Limited

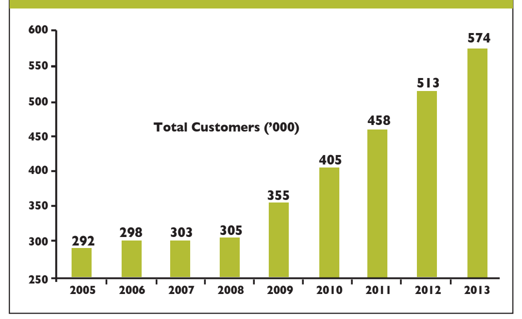
On behalf of the Board, Management and Staff, I am pleased to present the Audited Results of Umeme for the year ended 31 December 2013.

Operational Performance

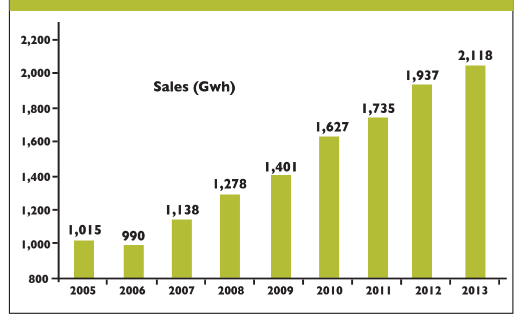
Due to our determined efforts in investing in the expansion and strengthening of the distribution network, the Company was able to achieve the following during the year:

- No fatalities attributed to network failure
- Reduction in distribution tariff to Ushs 111 per KWh in 2013 from Ushs 116 per KWh in 2012, through connecting more customers, with better collection rates and reduced energy losses
- Improved customer service, with 52,000 customers on pre-payment metering, construction of three new sub stations and lines, use of e-payments and better response times
- Increase in investments year on year, connecting more customers and enhancing revenue growth
- Shareholder value enhancement through profitability and increased asset base

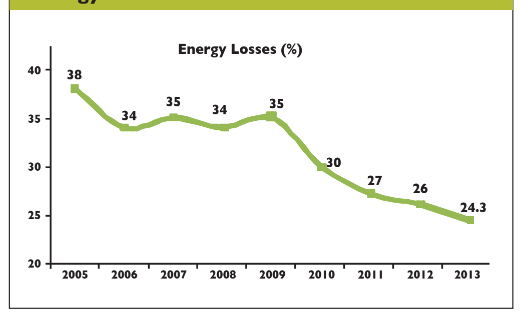
Customer Growth: +12%



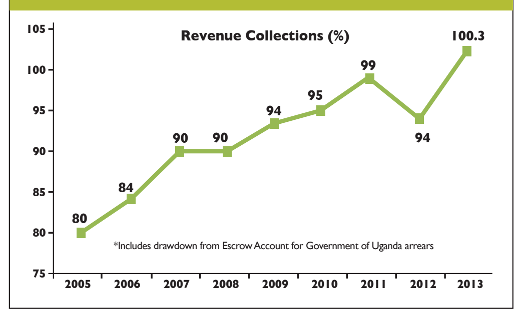
Increase in sales: +9%



Energy loss reduction: 24.3%

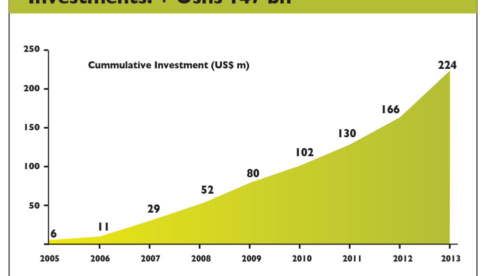


Revenue Collection Rate: 100.3%*

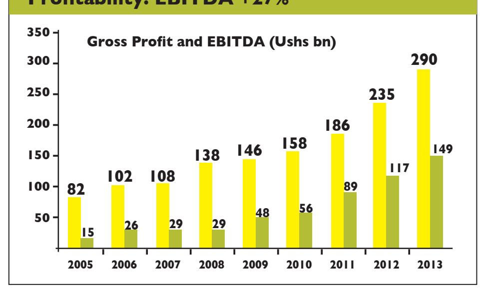


Financial Performance

Investments: + Ushs 147 bn



Profitability: EBITDA +27%



Umeme continued to return strong results for the year ended 31 December 2013, underpinned by capital investments, increase in sales and improved performance against the regulatory targets.

EBITDA grew by 27% to Ushs 149 billion in 2013 from Ushs 117 billion in 2012. Profit after Tax increased to Ushs 84 billion from Ushs 57 billion in 2012.

Total assets as of 31 December 2013 were Ushs 889 billion compared to Ushs 756 billion in 2012, reflecting an 18% growth. Shareholders' Equity increased to Ushs 286 billion from Ushs 239 billion in 2012. Total dividends paid during the year to shareholders totaled Ushs 37 billion, composed of final dividend for 2012 of Ushs 24 billion and interim dividend for 2013 of Ushs 13 billion.

During the year, the Company concluded a debt financing package of US$190m composed of term loans of US$170m and working capital facilities of US$20m. The financing package was a syndicate between International Finance Corporation (IFC), Standard Chartered Bank and Stanbic Bank Uganda Limited. The funds will be used to support the projected capital investments.

Regulatory Environment

The Company is on course to achieve its regulatory targets. Further to the disclosures contained in the IPO Prospectus, the Annual Report 2012 and the press release accompanying the interim 2013 financial results, the Electricity Regulatory Authority (ERA) has now implemented Amendments 2 & 4 to the Supply Licence. As a result, the Company has recognised revenues of Ushs 37.8 billion that are not currently being recovered through the tariff. For more details please see note 1.

The Escrow Account is currently not funded. For more details please see note 2.

The final report on the Parliamentary Ad-hoc Committee on Energy established in July 2011 and as disclosed in the IPO prospectus was tabled for parliamentary debate in 2013. The Government of Uganda will decide which recommendations will be adopted. Our view remains that Government is fully committed to encouraging private sector investment in Uganda.

Outlook

In the medium term, the company is focused on delivering its investment programme of US$440m, focusing on growth and access, network restoration, technology, pre-payment metering and distribution efficiency.

We believe that these successes continue to contribute to the stability of the electricity sector and the overall economic development of the country. The Directors take this opportunity to thank the staff, Government of Uganda, Umeme customers, shareholders, stakeholders and business partners, for their support of Umeme and the Uganda electricity sector.

On behalf of the Board

Chairman
24 March 2014

Note 1

Umeme has challenged the legality of the amendments and has filed an appeal with the Electricity Dispute Tribunal (EDT), which is awaiting resolution.

Umeme has also filed a tariff adjustment application pursuant to Section 7 (Change of Law) of Annex A (the Tariff Methodology) of the Supply License, on the grounds that Umeme is entitled under the provisions of its licence to be compensated for any additional costs resulting from ERA's introduction of these amendments. The change of law remedy, giving rise to the tariff adjustment application, is based on ERA having introduced amendments to the Umeme licences which depart from the tariff methodology agreed at the outset of the concession. The tariff adjustment application has been submitted without prejudice to the EDT disputes process, discussed above, which is being progressed in parallel. The Company shall continue to utilise the contractual remedies available to it under the concession agreements in compensating the Company for any unrecovered costs incurred as a result of the amendments.

Note 2

The Lease and Assignment Agreement requires Uganda Electricity Distribution Company Limited (UEDCL) to establish an Escrow Account in order to compensate Umeme in the event of certain contingencies, including Government non-payment of electricity bills and ERA non-compliance with the terms of Umeme's electricity licences in establishing the retail tariff. The Escrow Account also serves as security for government obligations under the Support Agreement. The Escrow Account is currently not funded. The lease payments to UEDCL, which were formerly used to fund the Escrow Account from time to time, have been excluded from the retail tariff by ERA. Notwithstanding the removal of the lease payments from the tariff, UEDCL is nevertheless obliged to fund the Escrow Account to the required minimum balance, in accordance with UEDCL's obligations under the Lease and Assignment Agreement.

Summarised Financial Statements For The Year Ended 31 December 2013

STATEMENT OF COMPREHENSIVE INCOME

	2,013 Ushs million	2,012 Ushs million
Revenue	965,752	859,552
Cost of sales	(675,866)	(624,235)
GROSS PROFIT	**289,886**	**235,317**
Other operating income	13,677	4,980
Finance income	17,499	15,032
	321,062	255,329
Repair and maintenance expenses	(17,319)	(18,059)
Administration expenses	(132,201)	(105,363)
Foreign exchange losses	-	(13,441)
Other expenses	(502)	(2,243)
OPERATING PROFIT BEFORE AMORTISATION	**171,040**	**116,223**
Amortisation of intangible assets	(33,189)	(22,248)
OPERATING PROFIT	**137,851**	**93,975**
Finance costs	(22,579)	(33,054)
PROFIT BEFORE TAX	**115,272**	**60,921**
Income tax expense	(31,605)	(3,811)
PROFIT FOR THE YEAR	**83,667**	**57,110**
	2,013 Ushs	**2,012 Ushs**
BASIC AND DILUTED EARNINGS PER SHARE	**52**	**42**

STATEMENT OF CASH FLOWS

	2013 Ushs million	2012 Ushs million
Net cash flows from operating activities	**111,250**	**106,697**
Investing activities		
Purchase of intangible assets	(146,824)	(98,074)
Proceeds from sale of motor vehicles	52	166
Net cash flows used in investing activities	**(146,772)**	**(97,908)**
Financing activities		
Net proceeds from issue of shares (less shares granted to employees)	-	71,568
Repayment of shareholder's loans	-	(74,670)
Repayment of IFC loan	(50,691)	(6,004)
Proceeds from borrowings (net)	90,798	-
Dividends paid	(37,349)	-
Net cash flows from/(used in) financing activities	**2,758**	**(9,106)**
Net decrease in cash and cash equivalents	(32,764)	(317)
Cash and cash equivalents at 1 January	46,972	47,289
Cash and cash equivalents at 31 December	**14,208**	**46,972**

Dividend

Subject to the approval of the shareholders, the directors recommend to members that a final dividend of Ushs 16.8 per ordinary share be paid for the year ended 31 December 2013 (2012: Ushs 15), subject to deduction of withholding tax where applicable, to shareholders registered in the books of the Company at close of business 6 June 2014. An interim dividend for the year of Ushs 8 per share was paid in December 2013 (2012: Nil). The total dividend for the year will be Ushs 24.8 per share. If approved, the outstanding dividend will be paid on or about 30 June 2014.

STATEMENT OF FINANCIAL POSITION AS OF 31 DECEMBER 2013

	2013 Ushs million	2012 Ushs million
ASSETS		
NON CURRENT ASSETS		
Intangible assets	392,764	279,683
Concession arrangement financial asset: Non-current portion	91,787	152,936
	484,551	432,619
CURRENT ASSETS		
Concession arrangement financial asset: Current portion	109,234	43,892
Inventories	29,593	36,460
Amount recoverable from customer capital contributions	774	723
Trade and other receivables	230,813	187,963
Current income tax recoverable	-	3,616
Bank balances	33,941	50,660
	404,355	323,314
TOTAL ASSETS	**888,906**	**755,933**
EQUITY AND LIABILITIES		
EQUITY		
Issued capital	27,748	27,748
Share premium	70,292	70,292
Retained earnings	187,725	141,407
	285,765	239,447
NON-CURRENT LIABILITIES		
Borrowings: Non-current portion	90,798	47,093
Concession obligation: Non-current portion	91,787	152,936
Deferred income tax liability	37,905	12,100
Provisions	3,018	-
	223,508	212,129
CURRENT LIABILITIES		
Borrowings: Current portion	234	7,768
Concession obligation: Current portion	109,234	43,892
Customer security deposits	6,716	3,688
Deferred income	8,234	4,393
Trade and other payables	241,952	244,616
Current income tax payable	246	-
Bank overdraft	13,017	-
	379,633	304,357
TOTAL EQUITY AND LIABILITIES	**888,906**	**755,933**

STATEMENT OF CHANGES IN EQUITY

	Issued capital (Note 19) Ushs million	Share premium (Note 20) Ushs million	Retained earnings Ushs million	Total equity Ushs million
At 1 January 2012	22,870	-	84,297	107,167
Profit for the year	-	-	57,110	57,110
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income, net of tax	-	-	57,110	57,110
Issue of shares: public	4,235	63,927	-	68,162
Issue of shares: directors and employees	419	6,322	-	6,741
Issue of shares: employee share grant scheme	224	3,379	-	3,603
Share issue costs	-	(3,336)	-	(3,336)
At 31 December 2012	**27,748**	**70,292**	**141,407**	**239,447**
At 1 January 2013	27,748	70,292	141,407	239,447
Profit for the year	-	-	83,667	83,667
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income, net of tax	-	-	83,667	83,667
Dividends paid	-	-	(37,349)	(37,349)
At 31 December 2013	**27,748**	**70,292**	**187,725**	**285,765**

Message from the Directors

The above financial statements are extracts from the Company's financial statements which were audited by Ernst & Young, who issued an unqualified opinion. The financial statements were approved by the Board of Directors on 20 March 2014, and were signed on its behalf by:

Chairman

Managing Director

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